



Bill Number: S.B. 1336

Dunn Floor Amendment

Reference to: NATURAL RESOURCES Committee Amendment

Amendment drafted by: Leg. Council

FLOOR AMENDMENT EXPLANATION

1. Removes the Arizona State Land Department Temporary Oversight Committee and the related requirements, powers and duties.
2. Establishes the State Land Oversight Board (Oversight Board) to provide oversight of the Arizona State Land Department (ASLD) and to perform other prescribed duties.
3. Outlines the membership and the terms of office of the Oversight Board.
4. Allows the Oversight Board to:
 - a) hold public meetings to receive testimony and stakeholder input regarding the ASLD's processes; and
 - b) confer with subject matter experts on any matters relating to the managing, leasing, developing and disposing of state lands.
5. Requires the Oversight Board to:
 - a) have broad discretion on overseeing the ASLD's adoption of rules and policies;
 - b) review rulemaking, internal timelines and procedural efficiencies that affect applicants, lessees and purchasers of state trust lands;
 - c) collaborate with the ASLD to identify opportunities for improved transparency, predictability and accountability relating to the ASLD's processes;
 - d) ensure that the ASLD complies with the laws of Arizona;
 - e) on request of the chairperson of the Senate Natural Resources Committee of Reference (COR) and the House of Representatives (House) Natural Resources, Energy and Water COR or their successor CORs, provide testimony on the operations and oversight of the ASLD; and
 - f) by June 1, 2027, and each year thereafter, submit a report of the Oversight Board's findings and recommendations to the chairpersons of the Senate Natural Resources COR and House Natural Resources, Energy and Water COR, or their successor CORs, the Governor, the President of the Senate and the Speaker of the House and a copy to the Arizona Secretary of State.
6. Requires the Oversight Board to keep and maintain a complete and accurate record of all board proceedings and subjects the Oversight Board to the statutory requirements relating to public meetings and conflicts of interest.
7. Prohibits an employee of a political subdivision of Arizona who serves on the Oversight Board from participating in the consideration of or a vote concerning any conveyance that will directly benefit the political subdivision.

Amendment explanation prepared by Sawyer Bessler

3/3/2026

8. Requires the Oversight Board to adopt written policies, procedures and guidelines for standards of conduct, including a gift policy, for members of the Oversight Board and for officers and employees of the Oversight Board.
9. Deems that the Oversight Board is a public body that is subject to the statutory requirements relating to records.
10. Requires all state agencies to cooperate with the Oversight Board and make available data pertaining to the functions of the Oversight Board as requested by the Oversight Board.
11. Removes the requirement that the ASLD Commissioner consult with the applicable natural resources conservation district when creating conceptual land use plans.
12. Specifies that the prescribed requirement for the ASLD to immediately reimburse a holdover tenant whose lease is terminated by the ASLD is notwithstanding any other law.
13. Specifies that the prescribed requirement for the ASLD to, on the conclusion of a lease or special land use permit, reimburse the lessee or permittee for outlined improvements with monies from the state land trust is notwithstanding any other law.
14. Removes the requirement that the ASLD alert the applicable natural resource conservation district (NRCD) or soil and water conservation district of any environmental permitting on state lands within the jurisdiction of an NRCD or soil and water conservation district.
15. Specifies that the requirement for the ASLD to collaborate with the State Natural Resource Conservation Board or the applicable NRCD or soil and water conservation district be on the review of any proposed federal conservation-related permit on nonurban state lands, rather than on the review of any conservation-related permit on nonurban state lands.
16. Requires the ASLD, to the extent possible, to:
 - a) not include terms in the leases for state lands that are more stringent than statute; and
 - b) protect and uphold the due process rights of a person that does business with the ASLD consistent with the regulatory bill of rights.
17. Allows a person, in addition to submitting a complaint to the Office of Ombudsman-Citizens Aide, to file a complaint with the Attorney General alleging a violation of the outlined due process rights.

DUNN FLOOR AMENDMENT
SENATE AMENDMENTS TO S.B. 1336
(Reference to NATURAL RESOURCES Committee amendment)

Amendment instruction key:

[GREEN UPPERCASE UNDERLINING IN BRACKETS] indicates that the amendment is adding text to statute

or previously enacted session law.

[Green lowercase underlining in brackets] indicates that the amendment is adding text to new session law or is restoring previously stricken text to existing statute.

~~[GREEN UPPERCASE STRIKEOUT IN BRACKETS]~~ indicates that the amendment is removing new text from statute or previously enacted session law.

~~[Green lowercase strikeout in brackets]~~ indicates that the amendment is removing text from existing statute, previously enacted session law or new session law.

<<Double green carets enclosing an entire section>> indicates that the amendment is adding the section to the bill.

~~<<Green strikeout with double green carets enclosing an entire section>>~~ indicates that the amendment is removing the section to the bill.

{{ORANGE UPPERCASE UNDERLINING IN DOUBLE CURLY BRACKETS}} indicates that the amendment to an amendment is adding text to statute or previously enacted session law.

{{Orange lowercase underlining in double curly brackets}} indicates that the amendment to an amendment is adding text to new session law or is restoring previously stricken text to existing statute.

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≤≤Double orange underlined carets enclosing an entire section≥≥ indicate that the amendment to an amendment is adding the section to the bill.

~~≤≤Orange strikeout with double orange underlined carets enclosing an entire section≥≥~~ indicates that the amendment to an amendment is removing the section from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 37-102, Arizona Revised Statutes, is amended to
3 read:

4 37-102. State land department; powers and duties

5 A. The state land department shall administer all laws relating to
6 lands owned by, belonging to and under the control of this state.

7 B. The department shall have charge and control of all lands owned
8 by this state, and timber, stone, gravel and other products of such lands,
9 except lands under the specific use and control of state institutions and
10 the products of such lands.

11 C. The department, in the name of this state, may commence,
12 prosecute and defend all actions and proceedings to protect the interest
13 of this state in lands within this state or the proceeds of lands within
14 this state. Actions shall be commenced and prosecuted at the request of
15 the department by the attorney general, a county attorney or a special
16 counsel under the direction of the attorney general.

1 D. The department shall be the official representative of this
2 state in any communication between this state and the United States
3 government in all matters respecting state lands or any interest of this
4 state in or to the public lands within this state.

5 E. The summons in any action against this state respecting any
6 lands of this state or the products of such lands and all notices
7 concerning such lands or products shall be served on the commissioner.
8 Summonses, warrants or legal notices served on behalf of the department
9 may be served by the commissioner or the commissioner's deputy, ~~or~~ or by the
10 sheriff or a constable of any county of this state.

11 F. The department shall maintain as a public record in each of the
12 department's offices a public docket and index of all matters before the
13 department that may be subject to appeal to the board of appeals or to the
14 courts and all sale, exchange and lease transactions subject to bidding by
15 the public. The department shall list a matter on the public docket
16 immediately after an application or other request for department action is
17 received by the department. The department shall include in the public
18 docket every formal action and decision affecting each matter in question.
19 The department shall establish by rule a means by which any person may
20 obtain a copy of the public docket at the current copying cost.

21 G. The department shall reappraise or update the department's
22 original appraisal of property to be leased, exchanged or sold if the
23 board of appeals' approval of the lease or sale occurred more than two
24 hundred forty days before the auction.

25 H. To the extent possible, the state land department shall:

26 1. Prepare maps of the ancillary military facilities described in
27 section 28-8461, paragraph 7, subdivisions (b) and (c).

28 2. Make a map of the ancillary military facility described in
29 section 28-8461, paragraph 7, subdivision (a) available to the public in
30 printed or electronic format and provide the map in printed or electronic
31 format to the state real estate department.

32 3. On receipt of proper information from the military installation
33 commander with responsibility for the military electronics range, prepare
34 a map of the military electronics range as defined in section 9-500.28 and
35 make that map available to the public in printed or electronic format and
36 provide the map in printed or electronic format to the state real estate
37 department. Within ninety days after receipt of notice of any change in
38 the boundaries of the military electronics range from the military
39 installation commander, the state land department shall revise its map and
40 provide the map to the public and to the state real estate department.

41 4. On or before December 31, 2024 and on receipt of proper
42 information from the applicable military installation's and range's and
43 Arizona national guard site's commanders, prepare electronic legal
44 descriptions and maps of the military installation and range and Arizona
45 national guard site and their respective influence areas as defined in
46 sections 9-500.50 and 11-818.01 and provide the legal descriptions and
47 maps to the state real estate department and the public. The state land
48 department shall make changes to the boundaries of the military
49 installation and range and ARIZONA national guard site and their

1 respective influence areas and provide them to the state real estate
2 department and the public within ninety days after receipt of those
3 changes from the military installation's and range's and Arizona national
4 guard site's commanders.

5 5. ADOPT RULES TO ESTABLISH APPROPRIATE TIME FRAMES FOR ACTION ON
6 ANY APPLICATION OR OTHER COMPARABLE REQUEST THAT AN APPLICANT OR
7 INSTRUMENT HOLDER SUBMITS TO THE DEPARTMENT [AS PRESCRIBED IN TITLE 41,
8 CHAPTER 6, ARTICLE 7.1. THE DEPARTMENT SHALL MAINTAIN A LIST ON THE
9 DEPARTMENT'S WEBSITE OF ALL LICENSE APPLICATIONS AND ACTIONS TAKEN ON THE
10 APPLICATIONS]. IF THE DEPARTMENT FAILS TO ACT WITHIN ANY TIME FRAME
11 ESTABLISHED PURSUANT TO THIS PARAGRAPH, THE DEPARTMENT IS SUBJECT TO THE
12 SAME PENALTIES PRESCRIBED IN SECTION 41-1077.

13 [6. RESTRICT THE USE OF A LEASE OR PERMIT HOLDOVER PROVISION TO NOT
14 MORE THAN NINETY DAYS. IF THE DEPARTMENT DOES NOT TAKE ACTION ON A LEASE
15 RENEWAL WITHIN NINETY DAYS, THE LEASE AUTOMATICALLY EXTENDS FOR THREE
16 YEARS AND NINETY DAYS AFTER THE INITIAL DATE OF EXPIRATION.
17 {{NOTWITHSTANDING ANY OTHER LAW.}} A HOLDOVER TENANT WHOSE LEASE IS
18 TERMINATED BY THE DEPARTMENT SHALL RECEIVE IMMEDIATE REIMBURSEMENT FOR THE
19 FAIR MARKET VALUE, AS DETERMINED BY AN INDEPENDENT THIRD-PARTY VENDOR, OF
20 ANY REASONABLE AND CUSTOMARY IMPROVEMENTS THAT THE HOLDOVER TENANT MADE TO
21 THE STATE LAND.

22 7. FOR A LEASE RENEWAL AND SPECIAL LAND USE PERMIT:

23 (a) APPROVE ANY IMPROVEMENTS THAT ARE CUSTOMARY IN THE LESSEE'S OR
24 PERMITTEE'S COURSE OF BUSINESS. {{NOTWITHSTANDING ANY OTHER LAW.}} ON
25 CONCLUSION OF THE LEASE OR SPECIAL LAND USE PERMIT, THE DEPARTMENT SHALL
26 REIMBURSE THE LESSEE OR PERMITTEE FOR THE IMPROVEMENTS WITH MONIES FROM
27 THE STATE LAND TRUST.

28 (b) NOT LESS THAN SIX MONTHS BEFORE THE EXPIRATION OF THE LEASE
29 RENEWAL OR SPECIAL LAND USE PERMIT, PROVIDE NOTICE OF EXPIRATION. THE
30 NOTICE MUST INCLUDE ALL OF THE FOLLOWING:

31 (i) ANY PROPOSED RENTAL INCREASE OR CHANGE TO THE TERMS AND
32 CONDITIONS OF THE LEASE RENEWAL OR SPECIAL LAND USE PERMIT.

33 (ii) THE INTENT OF THE DEPARTMENT TO RENEW OR TERMINATE THE LEASE
34 ON EXPIRATION AND AN EXPLANATION OF THE DEPARTMENT'S RENEWAL OR
35 TERMINATION PROCESS.

36 (iii) THE JUSTIFICATION FOR THE COMMISSIONER'S DECISION PURSUANT TO
37 SECTION 37-133.

38 8. RESTRICT THE USE OF SPECIAL LAND USE PERMITS TO ONLY TEMPORARY
39 LAND USES THAT DO NOT HAVE A DEDICATED LAND USE LEASE OR PERMIT.

40 9. COLLABORATE WITH THE STATE NATURAL RESOURCE CONSERVATION BOARD
41 ESTABLISHED BY SECTION 41-6011, OR THE APPLICABLE NATURAL RESOURCE
42 CONSERVATION DISTRICT OR SOIL AND WATER CONSERVATION DISTRICT AS
43 DESIGNATED BY THE BOARD, ON THE REVIEW OF ANY {{PROPOSED FEDERAL}}
44 CONSERVATION-RELATED PERMIT ON NONURBAN STATE LANDS.] {{THE DEPARTMENT
45 SHALL ALERT THE BOARD, OR THE APPLICABLE NATURAL RESOURCE CONSERVATION
46 DISTRICT OR SOIL AND WATER CONSERVATION DISTRICT AS DESIGNATED BY THE
47 BOARD, OF ANY ENVIRONMENTAL PERMITTING ON STATE LANDS WITHIN THE
48 JURISDICTION OF A NATURAL RESOURCE CONSERVATION DISTRICT OR SOIL AND WATER
49 CONSERVATION DISTRICT.}}

1 {{10. FOR THE LEASE OF THE STATE LANDS, NOT INCLUDE TERMS IN THE
2 LEASE THAT ARE MORE STRINGENT THAN STATUTE.

3 11. PROTECT AND UPHOLD THE DUE PROCESS RIGHTS OF A PERSON THAT DOES
4 BUSINESS WITH THE DEPARTMENT CONSISTENT WITH THE REGULATORY BILL OF RIGHTS
5 PRESCRIBED IN SECTION 41-1001.01. IN ADDITION TO SUBMITTING A COMPLAINT
6 TO THE OFFICE OF OMBUDSMAN-CITIZENS AIDE AS PRESCRIBED IN SECTION
7 41-1001.01, SUBSECTION A, PARAGRAPH 19, A PERSON MAY FILE A COMPLAINT WITH
8 THE ATTORNEY GENERAL ALLEGING A VIOLATION OF THIS PARAGRAPH. THE ATTORNEY
9 GENERAL SHALL INVESTIGATE ANY COMPLAINTS AND ISSUE A WRITTEN ORDER
10 OUTLINING ANY FINDINGS.}}

11 I. The state land department shall provide each map and the legal
12 description of the boundaries of each ancillary military facility
13 described in section 28-8461, paragraph 7 in electronic format to the
14 state real estate department. Each map prepared by the state land
15 department pursuant to this section shall:

16 1. Describe the ancillary military facility, the territory in the
17 vicinity of the ancillary military facility and the high noise and
18 accident potential zone, accident potential zone one and accident
19 potential zone two associated with the ancillary military facility.

20 2. Be submitted to the county in which the ancillary military
21 facility is located.

22 3. Be made available to the public.

23 J. The state land department shall prepare a military training
24 route map. The map shall contain military training route numbers in this
25 state that are used by various United States armed forces. The map shall
26 be dated.

27 K. When preparing the military training route map, the state land
28 department shall use information contained in the most current department
29 of defense publication that is entitled "area planning military training
30 routes for North and South America".

31 L. The military training route map shall be made available to the
32 public.

33 M. Within ninety days after the department is notified of a change
34 of a military training route in this state, the department shall prepare a
35 revised military training route map. The map shall be dated and contain a
36 statement that the map supersedes all previously dated maps. The state
37 land department shall send the revised map to the state real estate
38 department electronically and shall also send an accompanying letter
39 specifying the military training route changes. The state land department
40 shall send the revised map and an accompanying letter specifying the
41 military training route changes to the municipalities affected by the
42 changes and to all counties.

43 N. The department shall submit the military training route map
44 prepared pursuant to this section to the counties in either an electronic
45 or a printed format. The format shall be determined by the receiving
46 county.

47 O. The state land department shall provide the legal description of
48 the boundaries of the military training routes as delineated in the

1 military training route map to the state real estate department in
2 electronic format.

3 P. The state land department shall prepare a military restricted
4 airspace map. The map shall contain military restricted airspace in this
5 state that is used by various United States armed forces. The map shall
6 be dated.

7 Q. When preparing the military restricted airspace map, the state
8 land department shall use information contained in the most current
9 department of transportation publication that is entitled "aeronautical
10 chart".

11 R. The military restricted airspace map shall be made available in
12 printed or electronic format to the public at the state land department
13 and at the state real estate department.

14 S. Within ninety days after the department is notified of a change
15 of military restricted airspace in this state, the department shall
16 prepare a revised military restricted airspace map. The map shall be
17 dated and contain a statement that the map supersedes all previously dated
18 maps. The state land department shall send the revised map to the state
19 real estate department electronically and shall also send an accompanying
20 letter specifying the military restricted airspace changes. The state
21 land department shall send the revised map and an accompanying letter
22 specifying the military restricted airspace changes to the municipalities
23 affected by the changes and to all counties.

24 T. The department shall submit the military restricted airspace map
25 prepared pursuant to this section to the counties in either an electronic
26 or a printed format. The format shall be determined by the receiving
27 county.

28 U. The state land department shall provide the legal description of
29 the boundaries of the military restricted airspace as delineated in the
30 military restricted airspace map to the state real estate department in
31 electronic format.

32 V. The department may accept title to and manage real estate,
33 property rights and related infrastructure acquired pursuant to section
34 26-262, subsection K for preserving or enhancing military installations in
35 this state.

36 ~~Sec. 2.~~ Title 37, chapter 1, article 1, Arizona Revised Statutes,
37 is amended by adding sections 37-111 and 37-112, to read:

38 37-111. State land oversight board; membership;
39 fingerprinting; conduct of office; definition

40 {{A. THE STATE LAND OVERSIGHT BOARD IS ESTABLISHED TO PROVIDE BROAD
41 OVERSIGHT OF THE STATE LAND DEPARTMENT AND TO PERFORM OTHER DUTIES AS
42 PRESCRIBED BY LAW.

43 B. THE BOARD CONSISTS OF THE FOLLOWING MEMBERS:

44 1. FOUR PERSONS FROM A COUNTY WITH A POPULATION OF FOUR HUNDRED
45 THOUSAND PERSONS OR MORE.

46 2. FOUR PERSONS FROM A COUNTY WITH A POPULATION OF LESS THAN FOUR
47 HUNDRED THOUSAND PERSONS.

48 3. ONE PERSON WHO SPECIALIZES IN FINANCE OR STATEWIDE LAND USE
49 NEEDS.

1 4. THE FOLLOWING AS ADVISORY MEMBERS WITHOUT THE POWER TO VOTE BUT
2 WHO MAY ATTEND EXECUTIVE SESSIONS OF THE BOARD:

3 (a) THE PRESIDENT OF THE SENATE OR THE PRESIDENT'S DESIGNEE.

4 (b) THE SPEAKER OF THE HOUSE OF REPRESENTATIVES OR THE SPEAKER'S
5 DESIGNEE.

6 (c) THE MINORITY LEADER OF THE SENATE OR THE MINORITY LEADER'S
7 DESIGNEE.

8 (d) THE MINORITY LEADER OF THE HOUSE OF REPRESENTATIVES OR THE
9 MINORITY LEADER'S DESIGNEE.

10 (e) THE COMMISSIONER OR THE COMMISSIONER'S DESIGNEE.

11 (f) THE DIRECTOR OF THE DEPARTMENT OF ENVIRONMENTAL QUALITY OR THE
12 DIRECTOR'S DESIGNEE.

13 (g) THE DIRECTOR OF THE DEPARTMENT OF WATER RESOURCES OR THE
14 DIRECTOR'S DESIGNEE.

15 (h) THE DIRECTOR OF THE DEPARTMENT OF ADMINISTRATION OR THE
16 DIRECTOR'S DESIGNEE.

17 (i) THE CHIEF EXECUTIVE OFFICER OF THE ARIZONA COMMERCE AUTHORITY
18 OR THE CHIEF EXECUTIVE OFFICER'S DESIGNEE.

19 C. THE FOLLOWING APPLY TO THE MEMBERS APPOINTED PURSUANT TO
20 SUBSECTION B, PARAGRAPHS 1 AND 2 OF THIS SECTION:

21 1. NO THREE APPOINTED MEMBERS OF THE BOARD MAY BE RESIDENTS OF THE
22 SAME COUNTY, AND AT LEAST ONE APPOINTED MEMBER OF THE BOARD SHALL BE A
23 RESIDENT OF EACH COUNTY WITH A POPULATION OF FOUR HUNDRED THOUSAND PERSONS
24 OR MORE.

25 2. MEMBERS MUST HAVE A SUBSTANTIAL KNOWLEDGE OF AND EXPERIENCE WITH
26 LAND MANAGEMENT OR FINANCE, INCLUDING PUBLIC FINANCE.

27 D. THE FOLLOWING APPLY TO ALL MEMBERS APPOINTED PURSUANT TO
28 SUBSECTION B, PARAGRAPHS 1, 2 AND 3 OF THIS SECTION:

29 1. THE GOVERNOR SHALL APPOINT TWO OF THE MEMBERS FROM A COUNTY WITH
30 A POPULATION OF FOUR HUNDRED THOUSAND PERSONS OR MORE, SHALL APPOINT TWO
31 OF THE MEMBERS FROM A COUNTY WITH A POPULATION OF LESS THAN FOUR HUNDRED
32 THOUSAND PERSONS AND SHALL APPOINT THE MEMBER WHO SPECIALIZES IN FINANCE
33 OR STATEWIDE LAND MANAGEMENT FROM A JOINT LIST OF AT LEAST FIVE QUALIFIED
34 APPLICANTS SUBMITTED BY THE PRESIDENT OF THE SENATE AND THE SPEAKER OF THE
35 HOUSE OF REPRESENTATIVES.

36 2. THE PRESIDENT OF THE SENATE AND THE MINORITY LEADER OF THE
37 SENATE SHALL APPOINT ONE OF THE MEMBERS FROM A COUNTY WITH A POPULATION OF
38 FOUR HUNDRED THOUSAND PERSONS OR MORE AND ONE OF THE MEMBERS FROM A COUNTY
39 WITH A POPULATION OF LESS THAN FOUR HUNDRED THOUSAND PERSONS. THE
40 PRESIDENT OF THE SENATE AND THE MINORITY LEADER OF THE SENATE SHALL
41 ALTERNATE THE TERMS IN WHICH THESE MEMBERS ARE APPOINTED.

42 3. THE SPEAKER OF THE HOUSE OF REPRESENTATIVES AND THE MINORITY
43 LEADER OF THE HOUSE OF REPRESENTATIVES SHALL APPOINT ONE OF THE MEMBERS
44 FROM A COUNTY WITH A POPULATION OF FOUR HUNDRED THOUSAND PERSONS OR MORE
45 AND ONE OF THE MEMBERS FROM A COUNTY WITH A POPULATION OF LESS THAN FOUR
46 HUNDRED THOUSAND PERSONS. THE SPEAKER OF THE HOUSE OF REPRESENTATIVES AND
47 THE MINORITY LEADER OF THE HOUSE OF REPRESENTATIVES SHALL ALTERNATE THE
48 TERMS IN WHICH THESE MEMBERS ARE APPOINTED.

1 4. APPOINTED MEMBERS SERVE FIVE-YEAR TERMS OF OFFICE BEGINNING AND
2 ENDING ON THE THIRD MONDAY IN JANUARY AND ARE ELIGIBLE FOR
3 REAPPOINTMENT. A MEMBER MAY BE REMOVED ONLY FOR CAUSE BY THE PERSON WHO
4 THEN HOLDS THE SAME OFFICE AS THE PERSON WHO APPOINTED THAT MEMBER.

5 5. MEMBERS SHALL BE RESIDENTS OF THIS STATE FOR AT LEAST TWO YEARS.

6 6. THE ORDER IN WHICH THE MEMBERS ARE APPOINTED PURSUANT TO
7 SUBSECTION B, PARAGRAPHS 1 AND 2 OF THIS SECTION IS:

8 (a) FOR THE INITIAL TERM AND EVERY THIRD TERM THEREAFTER, THE
9 PRESIDENT OF THE SENATE AND THE MINORITY LEADER OF THE SENATE SHALL
10 APPOINT FIRST, THE GOVERNOR SHALL APPOINT SECOND AND THE SPEAKER OF THE
11 HOUSE OF REPRESENTATIVES AND THE MINORITY LEADER OF THE HOUSE OF
12 REPRESENTATIVES SHALL APPOINT THIRD.

13 (b) FOR THE SECOND TERM AND EVERY THIRD TERM THEREAFTER, THE
14 GOVERNOR SHALL APPOINT FIRST, THE SPEAKER OF THE HOUSE OF REPRESENTATIVES
15 AND THE MINORITY LEADER OF THE HOUSE OF REPRESENTATIVES SHALL APPOINT
16 SECOND AND THE PRESIDENT OF THE SENATE AND THE MINORITY LEADER OF THE
17 SENATE SHALL APPOINT THIRD.

18 (c) FOR THE THIRD TERM AND EVERY THIRD TERM THEREAFTER, THE SPEAKER
19 OF THE HOUSE OF REPRESENTATIVES AND THE MINORITY LEADER OF THE HOUSE OF
20 REPRESENTATIVES SHALL APPOINT FIRST, THE PRESIDENT OF THE SENATE AND THE
21 MINORITY LEADER OF THE SENATE SHALL APPOINT SECOND AND THE GOVERNOR SHALL
22 APPOINT THIRD.

23 E. BEFORE A MEMBER IS APPOINTED TO THE BOARD PURSUANT TO SUBSECTION
24 C OR D OF THIS SECTION, THE PROSPECTIVE MEMBER SHALL SUBMIT A FULL SET OF
25 FINGERPRINTS TO THE GOVERNOR FOR THE PURPOSE OF OBTAINING A STATE AND
26 FEDERAL CRIMINAL RECORDS CHECK PURSUANT TO SECTION 41-1750 AND PUBLIC LAW
27 92-544. THE GOVERNOR SHALL SUBMIT THE FINGERPRINTS TO THE DEPARTMENT OF
28 PUBLIC SAFETY. THE DEPARTMENT OF PUBLIC SAFETY MAY EXCHANGE THIS
29 FINGERPRINT DATA WITH THE FEDERAL BUREAU OF INVESTIGATION.

30 F. THE BOARD SHALL ELECT A CHAIRPERSON OF THE BOARD FROM AMONG THE
31 VOTING MEMBERS. THE CHAIRPERSON MAY APPOINT SUBCOMMITTEES AS NECESSARY.

32 G. THE BOARD MAY REQUEST ASSISTANCE FROM REPRESENTATIVES OF OTHER
33 STATE AGENCIES. THE DEPARTMENT SHALL PROVIDE TECHNICAL ASSISTANCE TO THE
34 BOARD.

35 H. BOARD MEMBERS SERVE WITHOUT COMPENSATION BUT ARE ELIGIBLE FOR
36 REIMBURSEMENT OF EXPENSES PURSUANT TO TITLE 38, CHAPTER 4, ARTICLE 2. A
37 BOARD MEMBER WHO IS OTHERWISE EMPLOYED AS A PUBLIC OFFICER MAY NOT RECEIVE
38 REIMBURSEMENT PURSUANT TO THIS SUBSECTION IF IT IS OTHERWISE PROHIBITED BY
39 LAW.

40 I. A MAJORITY OF THE VOTING MEMBERS CONSTITUTES A QUORUM FOR THE
41 PURPOSE OF AN OFFICIAL MEETING FOR CONDUCTING BUSINESS. AN AFFIRMATIVE
42 VOTE OF A MAJORITY OF THE VOTING MEMBERS PRESENT AT AN OFFICIAL MEETING IS
43 SUFFICIENT FOR THE BOARD TO TAKE ANY ACTION.

44 J. THE BOARD SHALL KEEP AND MAINTAIN A COMPLETE AND ACCURATE RECORD
45 OF ALL BOARD PROCEEDINGS.

46 K. THE BOARD AND ANY SUBCOMMITTEES ARE SUBJECT TO TITLE 38, CHAPTER
47 3, ARTICLE 3.1, RELATING TO PUBLIC MEETINGS. EXCEPT ADVISORY NONVOTING
48 MEMBERS OF THE BOARD MAY ATTEND EXECUTIVE SESSIONS OF THE BOARD.

1 L. THE BOARD, ITS SUBCOMMITTEES AND THE OFFICERS AND ANY EMPLOYEES
2 OF THE BOARD ARE SUBJECT TO TITLE 38, CHAPTER 3, ARTICLE 8, RELATING TO
3 CONFLICTS OF INTEREST. IN ADDITION TO THE CONFLICT OF INTEREST PROVISIONS
4 IN TITLE 38, CHAPTER 3, ARTICLE 8, AND EXCEPT FOR EMPLOYEES OF THIS STATE
5 OR A POLITICAL SUBDIVISION OF THIS STATE, THE FOLLOWING APPLY:

6 1. A PERSON IS NOT ELIGIBLE FOR APPOINTMENT TO THE BOARD IF THE
7 PERSON OR THE PERSON'S RELATIVE MEETS ANY OF THE FOLLOWING CRITERIA:

8 (a) IS EMPLOYED BY OR PARTICIPATES IN THE MANAGEMENT OF A BUSINESS
9 ENTITY OR OTHER ORGANIZATION THAT LEASES OR BUYS STATE LANDS.

10 (b) OWNS, CONTROLS OR HAS, DIRECTLY OR INDIRECTLY, MORE THAN A TEN
11 PERCENT INTEREST IN A BUSINESS ENTITY OR OTHER ORGANIZATION THAT BUYS OR
12 LEASES STATE LANDS.

13 (c) USES OR RECEIVES A SUBSTANTIAL AMOUNT OF TANGIBLE GOODS,
14 SERVICES OR MONIES FROM THE DEPARTMENT.

15 (d) HAS A PERSONAL FINANCIAL INTEREST IN THE CONVEYANCE OF STATE
16 LANDS. THE PERSON OR THE PERSON'S RELATIVE DOES NOT HAVE A PERSONAL
17 FINANCIAL INTEREST IF THE PERSON OR THE PERSON'S RELATIVE IS A MEMBER OF A
18 CLASS OF PERSONS AND IT REASONABLY APPEARS THAT A MAJORITY OF THE TOTAL
19 MEMBERSHIP OF THAT CLASS IS TO BE AFFECTED BY THE ACTION.

20 2. A PERSON MAY NOT BE A VOTING MEMBER OF THE BOARD OR ACT AS THE
21 GENERAL COUNSEL TO THE BOARD OR AUTHORITY IF THE PERSON IS REQUIRED TO
22 REGISTER AS A LOBBYIST.

23 3. A PERSON MAY NOT BE A MEMBER OF THE BOARD OR AN EMPLOYEE OF THE
24 BOARD IF THE PERSON OR THE PERSON'S RELATIVE IS AN OFFICER, EMPLOYEE OR
25 PAID CONSULTANT FOR A WATER USERS' ASSOCIATION OR TRADE ASSOCIATION.

26 M. AN EMPLOYEE OF A POLITICAL SUBDIVISION OF THIS STATE WHO SERVES
27 ON THE BOARD MAY NOT PARTICIPATE IN THE CONSIDERATION OF OR A VOTE
28 CONCERNING ANY CONVEYANCE THAT WILL DIRECTLY BENEFIT THE POLITICAL
29 SUBDIVISION.

30 N. THE BOARD SHALL ADOPT WRITTEN POLICIES, PROCEDURES AND
31 GUIDELINES FOR STANDARDS OF CONDUCT, INCLUDING A GIFT POLICY, FOR MEMBERS
32 OF THE BOARD AND FOR OFFICERS AND EMPLOYEES OF THE BOARD.

33 O. THE BOARD IS A PUBLIC BODY THAT IS SUBJECT TO TITLE 38, CHAPTER
34 3, ARTICLE 3. THE BOARD SHALL OPERATE ON THE STATE FISCAL YEAR.

35 P. ALL STATE AGENCIES SHALL COOPERATE WITH THE BOARD AND MAKE
36 AVAILABLE DATA PERTAINING TO THE FUNCTIONS OF THE BOARD AS REQUESTED BY
37 THE BOARD.

38 Q. FOR THE PURPOSES OF THIS SECTION, "TRADE ASSOCIATION" MEANS ANY
39 COOPERATIVE, ASSOCIATION OR BUSINESS ORGANIZATION, WHETHER OR NOT
40 INCORPORATED UNDER FEDERAL OR STATE LAW, THAT IS DESIGNED TO ASSIST ITS
41 MEMBERS, INDUSTRY OR PROFESSION IN ADVOCATING FOR OR PROMOTING THEIR
42 COMMON INTEREST.}}

43 37-112. State land oversight board; powers and duties; annual
44 report

45 {{A. THE STATE LAND OVERSIGHT BOARD MAY:

46 1. HOLD PUBLIC MEETINGS TO RECEIVE TESTIMONY AND STAKEHOLDER INPUT
47 REGARDING THE STATE LAND DEPARTMENT'S PROCESSES.

48 2. CONFER WITH SUBJECT MATTER EXPERTS ON ANY MATTERS RELATING TO
49 MANAGING, LEASING, DEVELOPING AND DISPOSING STATE LANDS.

1 B. THE BOARD SHALL:

2 1. HAVE BROAD DISCRETION ON OVERSEEING THE DEPARTMENT'S ADOPTION OF
3 RULES AND POLICIES.

4 2. REVIEW RULEMAKING, INTERNAL TIMELINES AND PROCEDURAL
5 EFFICIENCIES THAT AFFECT APPLICANTS, LESSEES AND PURCHASERS OF STATE TRUST
6 LANDS.

7 3. COLLABORATE WITH THE DEPARTMENT TO IDENTIFY OPPORTUNITIES FOR
8 IMPROVED TRANSPARENCY, PREDICTABILITY AND ACCOUNTABILITY RELATING TO THE
9 STATE LAND DEPARTMENT'S PROCESSES.

10 4. ENSURE THE DEPARTMENT COMPLIES WITH THE LAWS OF THIS STATE.

11 5. ON REQUEST OF THE CHAIRPERSON OF THE SENATE NATURAL RESOURCES
12 COMMITTEE OF REFERENCE AND THE HOUSE OF REPRESENTATIVES NATURAL RESOURCES,
13 ENERGY AND WATER COMMITTEE OF REFERENCE, OR THEIR SUCCESSOR COMMITTEES OF
14 REFERENCE, PROVIDE TESTIMONY ON THE OPERATIONS AND OVERSIGHT OF THE
15 DEPARTMENT.

16 6. ON OR BEFORE JUNE 1, 2027 AND EACH YEAR THEREAFTER, SUBMIT A
17 REPORT OF THE BOARD'S FINDINGS AND RECOMMENDATIONS TO THE CHAIRPERSONS OF
18 THE SENATE NATURAL RESOURCES COMMITTEE OF REFERENCE AND THE HOUSE OF
19 REPRESENTATIVES NATURAL RESOURCES, ENERGY AND WATER COMMITTEE OF
20 REFERENCE, OR THEIR SUCCESSOR COMMITTEES OF REFERENCE, THE GOVERNOR, THE
21 PRESIDENT OF THE SENATE AND THE SPEAKER OF THE HOUSE OF REPRESENTATIVES
22 AND SHALL PROVIDE A COPY OF THIS REPORT TO THE SECRETARY OF STATE.}}>>

23 <<Sec. 3. Section 37-331.03, Arizona Revised Statutes, is amended
24 to read:

25 37-331.03. Conceptual land use plans; five year state trust
26 land disposition plans; definitions

27 A. The commissioner shall create conceptual land use plans for all
28 ~~[urban]~~ state trust land in this state ~~[and other state trust lands the~~
29 ~~commissioner considers to be appropriate]~~. The commissioner shall:

30 1. Prioritize the creation of conceptual [LAND USE] plans to the
31 extent possible to:

32 (a) Correlate with the rate of population growth in ~~[the]~~ urban
33 [AND RURAL] areas in this state.

34 (b) Coincide with the production of municipal general plans under
35 title 9, chapter 4, article 6 and county plans under title 11, chapter 6,
36 article 1.

37 2. Revise and update each plan at least every ten years.

38 3. Consult with the ~~{{[APPLICABLE NATURAL RESOURCE CONSERVATION~~
39 ~~DISTRICT,]}}~~ city, town or county in which the land is located and with
40 any regional planning organization regarding integrating the conceptual
41 [LAND USE] plan into the general land use plan of the city, town or
42 county.

43 4. Submit each [CONCEPTUAL LAND USE] plan, and revision of the
44 [CONCEPTUAL LAND USE] plan, to the urban land planning oversight committee
45 for review.

46 B. On approval of the conceptual land use plan by the commissioner
47 under this section, the conceptual [LAND USE] plan is considered to be a
48 state general plan for [THE] purposes of this article.

1 C. The commissioner may create the conceptual land use plans under
2 subsection A of this section by any of the following methods:

- 3 1. Using ~~[department staff or]~~ private consultants.
- 4 2. Entering into participation contracts pursuant to section
5 37-239.
- 6 3. Issuing planning permits for urban lands pursuant to section
7 37-338.
- 8 4. Entering into planning contracts for urban lands or other state
9 trust lands the commissioner considers to be appropriate, including
10 compensation as provided by section 37-338, subsection D.

11 D. The commissioner shall create five year disposition plans for
12 all state trust land in this state [FOR EACH COUNTY], based at a minimum
13 on market demand, anticipated transportation and infrastructure
14 availability. The commissioner shall:

- 15 1. Review and update each [FIVE YEAR DISPOSITION] plan ~~[each year]~~
16 [EVERY THREE YEARS OR] as may be necessary.
- 17 2. Consult with the city, town or county in which the land is
18 located and with any regional planning organization.
- 19 [3. HIRE THIRD-PARTY CONTRACTORS.]
- 20 4. INCLUDE RESIDENTIAL DEVELOPMENT WITHIN THE SERVICE AREA OF A
21 MUNICIPAL PROVIDER AS DEFINED IN SECTION 45-561.]

22 ~~[3.]~~ [5.] Submit each [FIVE YEAR DISPOSITION] plan and revision to
23 the urban land planning oversight committee to ensure conformity with the
24 conceptual [LAND USE] plan under subsection A [OF THIS SECTION].

25 E. For the purposes of this section:

- 26 1. "Conceptual land use plan" means a plan that is developed for
27 urban state trust land and other state trust lands the commissioner
28 considers to be appropriate and that identifies:
 - 29 (a) Appropriate land uses, including commercial, industrial,
30 residential and open space uses.
 - 31 (b) Transportation corridors and infrastructure requirements.
 - 32 (c) All natural and artificial constraints and opportunities
33 associated with the land.

34 2. "Five year disposition plan" means a plan that identifies the
35 land projected to be sold, leased, reclassified for conservation purposes,
36 master planned or zoned during the next five years.>>

37 Sec. 4. Section 41-1001, Arizona Revised Statutes, is amended to
38 read:

39 41-1001. Definitions

40 In this chapter, unless the context otherwise requires:

- 41 1. "Agency" means any board, commission, department~~[, INCLUDING THE~~
42 STATE LAND DEPARTMENT], officer or other administrative unit of this
43 state, including the agency head and one or more members of the agency
44 head or agency employees or other persons directly or indirectly
45 purporting to act on behalf or under the authority of the agency head,
46 whether created under the Constitution of Arizona or by enactment of the
47 legislature. Agency does not include the legislature, the courts or the
48 governor. Agency does not include a political subdivision of this state
49 or any of the administrative units of a political subdivision, but does

1 include any board, commission, department, officer or other administrative
2 unit created or appointed by joint or concerted action of an agency and
3 one or more political subdivisions of this state or any of their units.
4 To the extent an administrative unit purports to exercise authority
5 subject to this chapter, an administrative unit otherwise qualifying as an
6 agency must be treated as a separate agency even if the administrative
7 unit is located within or subordinate to another agency.

8 2. "Appealable agency action" has the same meaning prescribed in
9 section 41-1092.

10 3. "Audit" means an audit, investigation or inspection pursuant to
11 title 23, chapter 2 or 4.

12 4. "Code" means the Arizona administrative code, which is published
13 pursuant to section 41-1011.

14 5. "Committee" means the administrative rules oversight committee.

15 6. "Contested case" means any proceeding, including rate making,
16 except rate making pursuant to article XV, Constitution of Arizona, price
17 fixing and licensing, in which the legal rights, duties or privileges of a
18 party are required or permitted by law, other than this chapter, to be
19 determined by an agency after an opportunity for an administrative
20 hearing.

21 7. "Council" means the governor's regulatory review council.

22 8. "Delegation agreement" means an agreement between an agency and
23 a political subdivision that authorizes the political subdivision to
24 exercise functions, powers or duties conferred on the delegating agency by
25 a provision of law. Delegation agreement does not include
26 intergovernmental agreements entered into pursuant to title 11, chapter 7,
27 article 3.

28 9. "Emergency rule" means a rule that is made pursuant to section
29 41-1026.

30 10. "Fee" means a charge prescribed by an agency for an inspection
31 or for obtaining a license.

32 11. "Final rule" means any rule filed with the secretary of state
33 and made pursuant to an exemption from this chapter in section 41-1005,
34 made pursuant to section 41-1026, approved by the council pursuant to
35 section 41-1052 or 41-1053 or approved by the attorney general pursuant to
36 section 41-1044. For purposes of judicial review, final rule includes
37 expedited rules pursuant to section 41-1027.

38 12. "General permit" means a regulatory permit, license or agency
39 authorization that is for facilities, activities or practices in a class
40 that are substantially similar in nature and that is issued or granted by
41 an agency to a qualified applicant to conduct identified operations or
42 activities if the applicant meets the applicable requirements of the
43 general permit, that requires less information than an individual or
44 traditional permit, license or authorization and that does not require a
45 public hearing.

46 13. "License":

47 (a) Includes the whole or part of any agency permit, certificate,
48 approval, registration, charter or similar form of permission required by
49 law. ~~but~~

1 (b) EXCEPT FOR A LICENSE ISSUED BY THE STATE LAND DEPARTMENT, does
2 not include a license required solely for revenue purposes.

3 14. "Licensing" includes the agency process respecting the grant,
4 denial, renewal, revocation, suspension, annulment, withdrawal, change,
5 reduction, modification or amendment of a license, including an existing
6 permit, certificate, approval, registration, charter or similar form of
7 permission, approval or authorization obtained from an agency by the
8 holder of a license.

9 15. "Licensing decision" means any action by an agency to grant or
10 deny any request for permission, approval or authorization issued in
11 response to any request from an applicant for a license or to the holder
12 of a license to exercise authority within the scope of the license.

13 16. "Party" means each person or agency named or admitted as a
14 party or properly seeking and entitled as of right to be admitted as a
15 party.

16 17. "Person" means an individual, partnership, corporation,
17 association, governmental subdivision or unit of a governmental
18 subdivision, a public or private organization of any character or another
19 agency.

20 18. "Preamble" means:

21 (a) For any rulemaking subject to this chapter, a statement
22 accompanying the rule that includes:

23 (i) Reference to the specific statutory authority for the rule.

24 (ii) The name and address of agency personnel with whom persons may
25 communicate regarding the rule.

26 (iii) An explanation of the rule, including the agency's reasons
27 for initiating the rulemaking.

28 (iv) A reference to any study relevant to the rule that the agency
29 reviewed and either proposes to rely on in its evaluation of or
30 justification for the rule or proposes not to rely on in its evaluation of
31 or justification for the rule, where the public may obtain or review each
32 study, all data underlying each study and any analysis of each study and
33 other supporting material.

34 (v) The economic, small business and consumer impact summary, or in
35 the case of a proposed rule, a preliminary summary and a solicitation of
36 input on the accuracy of the summary.

37 (vi) A showing of good cause why the rule is necessary to promote a
38 statewide interest if the rule will diminish a previous grant of authority
39 of a political subdivision of this state.

40 (vii) Such other matters as are prescribed by statute and that are
41 applicable to the specific agency or to any specific rule or class of
42 rules.

43 (b) In addition to the information set forth in subdivision (a) of
44 this paragraph, for a proposed rule, the preamble also shall include a
45 list of all previous notices appearing in the register addressing the
46 proposed rule, a statement of the time, place and nature of the
47 proceedings for the making, amendment or repeal of the rule and where,
48 when and how persons may request an oral proceeding on the proposed rule
49 if the notice does not provide for one.

1 (c) In addition to the information set forth in subdivision (a) of
2 this paragraph, for an expedited rule, the preamble also shall include a
3 statement of the time, place and nature of the proceedings for the making,
4 amendment or repeal of the rule and an explanation of why expedited
5 proceedings are justified.

6 (d) For a final rule, except an emergency rule, the preamble also
7 shall include, in addition to the information set forth in subdivision
8 (a), the following information:

9 (i) A list of all previous notices appearing in the register
10 addressing the final rule.

11 (ii) A description of the changes between the proposed rules,
12 including supplemental notices and final rules.

13 (iii) A summary of the comments made regarding the rule and the
14 agency response to them.

15 (iv) A summary of the council's action on the rule.

16 (v) A statement of the rule's effective date.

17 (e) In addition to the information set forth in subdivision (a) of
18 this paragraph, for an emergency rule, the preamble also shall include an
19 explanation of the situation justifying the rule being made as an
20 emergency rule, the date of the attorney general's approval of the rule
21 and a statement of the emergency rule's effective date.

22 19. "Provision of law" means the whole or a part of the federal or
23 state constitution, or of any federal or state statute, rule of court,
24 executive order or rule of an administrative agency.

25 20. "Register" means the Arizona administrative register, which is:

26 (a) This state's official publication of rulemaking notices that
27 are filed with the office of secretary of state.

28 (b) Published pursuant to section 41-1011.

29 21. "Rule" means an agency statement of general applicability that
30 implements, interprets or prescribes law or policy, or describes the
31 procedure or practice requirements of an agency. Rule includes
32 prescribing fees or the amendment or repeal of a prior rule but does not
33 include intraagency memoranda that are not delegation agreements.

34 22. "Rulemaking" means the process to make a new rule or amend,
35 repeal or renumber a rule.

36 23. "Small business" means a concern, including its affiliates,
37 which is independently owned and operated, which is not dominant in its
38 field and which employs fewer than one hundred full-time employees or
39 which had gross annual receipts of less than four million dollars in its
40 last fiscal year. For purposes of a specific rule, an agency may define
41 small business to include more persons if it finds that such a definition
42 is necessary to adapt the rule to the needs and problems of small
43 businesses and organizations.

44 24. "Substantive policy statement" means a written expression which
45 informs the general public of an agency's current approach to, or opinion
46 of, the requirements of the federal or state constitution, federal or
47 state statute, administrative rule or regulation, or final judgment of a
48 court of competent jurisdiction, including, where appropriate, the
49 agency's current practice, procedure or method of action based upon that

1 approach or opinion. A substantive policy statement is advisory only. A
2 substantive policy statement does not include internal procedural
3 documents which only affect the internal procedures of the agency and does
4 not impose additional requirements or penalties on regulated parties,
5 confidential information or rules made in accordance with this chapter.

6 Sec. 5. Section 41-1002, Arizona Revised Statutes, is amended to
7 read:

8 41-1002. Applicability and relation to other law;
9 preapplication authorization; definitions

10 A. This article and articles 2 through 5 of this chapter apply to
11 all agencies and all proceedings not expressly exempted.

12 B. This chapter creates only procedural rights and imposes only
13 procedural duties. They are in addition to those created and imposed by
14 other statutes. To the extent that any other statute would diminish a
15 right created or duty imposed by this chapter, the other statute is
16 superseded by this chapter, unless the other statute expressly provides
17 otherwise.

18 C. An agency may grant procedural rights to persons in addition to
19 those conferred by this chapter so long as rights conferred on other
20 persons by any provision of law are not substantially prejudiced.

21 D. Unless specifically authorized by statute, an agency shall avoid
22 duplication of other laws that do not enhance regulatory clarity and shall
23 avoid dual permitting to the extent practicable.

24 E. Unless specifically authorized by statute, an agency may not
25 require preapplication authorization or require preapplication conferences
26 as a requirement to filing an application that is otherwise allowed by
27 statute. If preapplication procedures are required by statute, an agency
28 shall consider the preapplication requirements or procedures as the
29 beginning of the licensing time frame for the purposes of article 7.1 of
30 this chapter. An agency may offer voluntary preapplication procedures
31 without specific statutory authority if the agency communicates to an
32 applicant that the preapplication procedures are not mandatory. If
33 preapplication procedures are offered by an agency, the agency shall
34 consider the costs and delays that may be imposed on an applicant and
35 shall seek to minimize those impacts.

36 F. Unless authorized by federal or state law, an agency may not
37 take any action that materially increases the regulatory burdens on a
38 business unless there is a threat to the health, safety and welfare of the
39 public that has not been addressed by legislation or industry regulation
40 within the proposed regulated field.

41 G. Unless authorized by federal or state law, an agency may not
42 apply a regulation to a qualified marketplace platform if the purpose of
43 that regulation is to regulate a business that provides goods or services
44 directly to the customer.

45 H. THIS CHAPTER APPLIES TO THE STATE LAND DEPARTMENT.

46 ~~H.~~ I. For the purposes of this section:

47 1. "Qualified marketplace contractor" means any person or
48 organization, including an individual, corporation, limited liability
49 company, partnership, sole proprietor PROPRIETORSHIP or other entity, that

1 enters into an agreement with a qualified marketplace platform to use the
2 qualified marketplace platform's digital platform to provide goods or
3 services to third-party individuals or entities seeking those services.

4 2. "Qualified marketplace platform" means an organization,
5 including a corporation, limited liability company, partnership, sole
6 ~~proprietor~~ PROPRIETORSHIP or ~~any~~ other entity, that operates a digital
7 platform that facilitates the provision of goods or services by qualified
8 marketplace contractors to third-party individuals or entities seeking
9 those goods or services.

10 Sec. 6. Repeal

11 Section 41-3026.05, Arizona Revised Statutes, is repealed.

12 Sec. 7. Title 41, chapter 27, article 2, Arizona Revised Statutes,
13 is amended by adding section 41-3030.19, to read:

14 41-3030.19. State land department; termination July 1, 2030

15 A. THE STATE LAND DEPARTMENT TERMINATES ON JULY 1, 2030.

16 B. TITLE 37, CHAPTERS 1 AND 2 AND THIS SECTION ARE REPEALED ON
17 JANUARY 1, 2031.

18 <<Sec. 8. Section 41-6011, Arizona Revised Statutes, is amended to
19 read:

20 41-6011. State natural resource conservation board;
21 membership; powers and duties

22 A. The state natural resource conservation board is established
23 consisting of the following members who are residents of this state:

24 1. Eight members who are from different geographic natural resource
25 areas as defined by a statewide organization that represents all natural
26 resource conservation districts in this state. Four members shall be
27 appointed by the governor, two members shall be appointed by the president
28 of the senate and two members shall be appointed by the speaker of the
29 house of representatives. The members appointed pursuant to this
30 paragraph shall meet the following criteria:

31 (a) At least six of the members must be elected supervisors for a
32 natural resource conservation district.

33 (b) Not more than two members may be appointed supervisors from a
34 soil and water conservation district.

35 (c) At least one member shall be a member of the executive board of
36 a statewide organization that represents all natural resource conservation
37 districts in this state.

38 2. Three members who are appointed by the governor from any of the
39 following and who serve at the pleasure of the governor:

40 (a) The state land commissioner or state land commissioner's
41 designee.

42 (b) The director of the Arizona department of agriculture or the
43 director's designee.

44 (c) The state forester or the state forester's designee.

45 (d) The director of the Arizona game and fish department or the
46 director's designee.

47 B. The board shall elect a chairperson from among its members. The
48 chairperson must be a member who represents a natural resource
49 conservation district or soil and water conservation district.

1 C. The initial members of the board who are appointed pursuant to
2 subsection A, paragraph 1 of this section shall assign themselves by lot
3 to terms of one, two and three years in office. All subsequent members
4 serve three-year terms. The chairperson of the board shall notify the
5 governor's office of these terms.

6 D. If a member's term as a supervisor expires while serving on the
7 board, that member may not serve out the member's term as a board member.
8 A replacement shall be appointed from the same geographic [NATURAL]
9 resource area to fulfill the remainder of that member's term.

10 E. Board members shall be reimbursed for expenses as prescribed by
11 title 38, chapter 4, article 2 while attending board meetings.

12 F. The board may appoint or contract for an administrative officer,
13 a secretary and such other assistants as may be required, assign their
14 duties, define their powers and determine the amount of bond required of
15 any assistant entrusted with monies or property. The compensation of all
16 such assistants shall be determined pursuant to section 38-611.

17 G. The board shall adopt a seal, which shall be judicially noticed,
18 and shall hold public hearings, keep records of all proceedings and annual
19 records of district operations, adopt orders and rules and perform other
20 acts as are necessary to carry out this chapter.

21 H. The board shall:

22 1. Offer appropriate assistance to the supervisors of districts in
23 carrying out their powers and programs.

24 2. Keep the supervisors of each district informed of the activities
25 and experiences of other districts and of relevant information from other
26 states, and facilitate cooperation and interchange of advice, experience
27 and program opportunities between districts.

28 3. Coordinate the programs of the several districts insofar as
29 possible by advice and consultation.

30 4. Require the supervisors of each district to file with the board
31 annually any audits and the records of the operations of the district for
32 the preceding year in the form and detail as the board prescribes.

33 5. Secure the cooperation and assistance of the United States, its
34 agencies and agencies of this state, in the work of districts as local
35 units of state government with special expertise concerning land, soil,
36 water and natural resources management within the boundaries of the
37 district, as the board deems for the best interest of the state.

38 6. Disseminate information throughout the state concerning the
39 activities and program of districts.

40 7. Meet at least quarterly to receive updates from the board's
41 administrative officer regarding any relevant issue or matter necessary to
42 carry out this chapter, provide guidance to the administrative officer and
43 vote on any matters requiring a decision by the board.

44 8. Assist a district when the district is cooperating or
45 coordinating with a federal agency.

46 9. Assist districts with developing conservation action or
47 district-wide plans.

48 10. Adopt administrative rules that the board deems necessary and
49 proper to carry out this chapter.

1 [11. MAINTAIN AUTHORITY OVER CONSERVATION PERMITTING ON STATE TRUST
2 LANDS. THE BOARD MAY DELEGATE THIS AUTHORITY TO THE APPLICABLE DISTRICT
3 AS DETERMINED BY THE BOARD.]

4 12. COLLABORATE WITH THE STATE LAND DEPARTMENT FOR ANY CONSERVATION
5 OR ENVIRONMENTAL PERMITTING LOCATED ON STATE TRUST LAND. THE BOARD SHALL
6 IMMEDIATELY FORWARD ANY CONSERVATION OR ENVIRONMENTAL PERMITTING ISSUED OR
7 RECEIVED BY THE BOARD OR THE APPLICABLE DISTRICT TO THE STATE LAND
8 DEPARTMENT.]

9 I. The board may remove a district supervisor from office if the
10 board determines, after reasonable notice and an impartial hearing, that
11 the supervisor is guilty of misfeasance, malfeasance or nonfeasance in
12 office. For the purposes of this subsection, "nonfeasance" includes the
13 failure to attend three consecutive meetings of district supervisors
14 without reasonable excuse.

15 J. The board, pursuant to chapter 4, article 4 of this title, may
16 contract for or employ professional and administrative services.
17 Contracts for professional services are exempt from chapter 23 of this
18 title.>>

19 ~~<<Sec. 8. State land department temporary oversight~~
20 ~~committee; membership; duties; annual report;~~
21 ~~delayed repeal; definition~~

22 ~~A. The state land department temporary oversight committee is~~
23 ~~established consisting of the following members[.:~~

24 ~~1. Five persons] who are appointed [as follows:~~

25 ~~1. Two members who are appointed by the president of the senate and~~
26 ~~who represent commercial development and homebuilding.~~

27 ~~2. Two members who are appointed by the speaker of the house of~~
28 ~~representatives and who represent mining and agriculture.~~

29 ~~3. Five members who are appointed] by the governor from a list of~~
30 ~~fifteen persons that the president of the senate and the speaker of the~~
31 ~~house of representatives provide to the governor [and who represent~~
32 ~~construction aggregate producers, grazers, financiers of land sales, buyers~~
33 ~~or lessees of state trust lands and land planners].~~

34 ~~[2. One member who is appointed by the president of the senate.~~

35 ~~3. One member who is appointed by the speaker of the house of~~
36 ~~representatives.~~

37 ~~4. One member who is appointed by the minority leader of the~~
38 ~~senate.~~

39 ~~5. One member who is appointed by the minority leader of the house~~
40 ~~of representatives.~~

41 ~~B. Each member appointed to the committee must meet one or more of~~
42 ~~the following criteria:~~

43 ~~1. Have successfully bid on state lands at an auction.~~

44 ~~2. Lease state lands.~~

45 ~~3. Represent a lessee of state lands.]~~

46 ~~[B. Members of the committee must have demonstrated experience in~~
47 ~~administering, disposing, leasing or developing state trust lands. Eight~~
48 ~~members of the committee must work in the private sector and represent the~~
49 ~~following sectors:~~

1 ~~1. Finance.~~
2 ~~2. Land use planning.~~
3 ~~3. Commercial development.~~
4 ~~4. Mining.~~
5 ~~5. Construction aggregate production.~~
6 ~~6. Grazing.~~
7 ~~7. Agriculture.~~
8 ~~8. Homebuilding.]~~
9 ~~C. Committee members are eligible for reimbursement of expenses~~
10 ~~pursuant to title 38, chapter 4, article 2, Arizona Revised Statutes.~~
11 ~~D. The committee may:~~
12 ~~1. Hold public meetings to [address the issues listed in subsection~~
13 ~~E, paragraph 1 of this section] [receive testimony and stakeholder input~~
14 ~~regarding the state land department's processes].~~
15 ~~2. Confer with subject matters experts [on the issues listed in~~
16 ~~subsection E, paragraph 1 of this section] [relating to managing, leasing,~~
17 ~~developing and disposing state lands].~~
18 ~~E. The committee shall:~~
19 ~~1. [Oversee] [Have broad discretion on overseeing] the state land~~
20 ~~[department and the state land] department's adoption of rules[,] [and]~~
21 ~~policies [on the following:~~
22 ~~(a) The application of biosolids on state lands.~~
23 ~~(b) The state land department's compliance with title 41, chapter~~
24 ~~6, Arizona Revised Statutes.~~
25 ~~(c) The state land department's adoption of appropriate application~~
26 ~~time frames pursuant to section 37-102, subsection H, paragraph 5, Arizona~~
27 ~~Revised Statutes, as added by this act.~~
28 ~~(d) The state land department's creation of conceptual land use~~
29 ~~plans and five year disposition plans as defined in section 37-331.03,~~
30 ~~Arizona Revised Statutes, as amended by this act.] [and procedures for~~
31 ~~administering, leasing and disposing of state trust lands.~~
32 ~~2. Review rulemaking, internal timelines and procedural~~
33 ~~efficiencies that affect applicants, lessees and purchasers of state trust~~
34 ~~lands.]~~
35 ~~[2.] [3.] Collaborate with the state land department to [establish~~
36 ~~goals for the state land department on the issues listed in paragraph 1 of~~
37 ~~this subsection] [identify opportunities for improved transparency,~~
38 ~~predictability and accountability relating to the state land department's~~
39 ~~processes].~~
40 ~~[3.] [4.] On or before June 1, 2027 [and each year thereafter],~~
41 ~~submit a report of the committee's findings and recommendations [on the~~
42 ~~issues listed in paragraph 1 of this subsection] to the chairpersons of~~
43 ~~the senate and the house of representatives natural resources committees~~
44 ~~of reference, or their successor committees, the governor, the president~~
45 ~~of the senate and the speaker of the house of representatives and shall~~
46 ~~provide a copy of this report to the secretary of state.~~
47 ~~[5. Ensure the state land department complies with the requirements~~
48 ~~of this section.~~

~~F. Members of the committee shall serve two-year staggered terms. Initial members shall assign themselves to staggered terms of one and two years, five members serving one year and four members serving two years. Each year the members of the committee shall elect a chairperson. The chairperson of the committee shall notify the state land department and all appointing authorities of the committee members' terms. Members may be reappointed on discretion of the appointing authority.]~~

~~[F.] [G.] This section is repealed from and after December 31, [2027] [2030].~~

~~[G.] [H.] For the purposes of this section, "state lands" has the same meaning prescribed in section 37-101, Arizona Revised Statutes.]]~~

<<Sec. 9. Rulemaking; delayed repeal

[A. On or before July 1, 2028, the state land department shall adopt rules for licensing time frames pursuant to section 37-102, subsection H, paragraph 5, Arizona Revised Statutes, as added by this act.

B. On or before July 1, 2027, the state land department shall do both of the following:

1. Open a rulemaking docket to adopt licensing time frames pursuant to section 37-102, subsection H, paragraph 5, Arizona Revised Statutes, as added by this act.

2. Conduct a study to determine the appropriate licensing time frames for licenses issued by the department.

C. This section is repealed from and after December 31, 2028.]]>>

Sec. 10. Purpose

Pursuant to section 41-2955, subsection B, Arizona Revised Statutes, the legislature continues the state land department to have charge of and control over all lands owned by this state, except lands under the specific use and control of state institutions, and the resources in and on those lands and to regulate the use of and access to those lands and resources as prescribed by the enabling act, the Constitution of Arizona and state law and to perform such other functions as prescribed by law.

<<Sec. 11. Legislative intent

[While the legislature has granted discretionary authority to the state land commissioner, the legislature intends that the state land department's processes and procedures be transparent and consistent with the manner that the legislature has prescribed for the disposition of state trust lands.]]>>

<<Sec. 12. Legislative findings

[The legislature finds that for years the state land department's lack of implementation of the statutory scheme has created a significant loss of revenue to the state trust land beneficiaries, has led to a lack of organization and streamlined processes and has perpetuated a poor moral within the department.]]>>

<<Sec. 13. Initial terms of members of state land oversight board

{{A. Notwithstanding section 37-111, Arizona Revised Statutes, as added by this act, the initial terms of members are:

1. For three members from a county with a population of four hundred thousand persons or more, three terms ending January 31, 2030.

1 2. For three members from a county with a population of less than
2 four hundred thousand persons and one member who specializes in finance or
3 statewide water needs, four terms ending January 31, 2032.

4 B. For the initial term, the president of the senate and the
5 minority leader of the senate shall appoint first, the governor shall
6 appoint second and the speaker of the house of representatives and the
7 minority leader of the house of representatives shall appoint third.

8 C. The appropriate appointing authority shall make all subsequent
9 appointments as prescribed by statute.}}>>

10 Sec. 14. Retroactivity

11 Section 41-3026.05, Arizona Revised Statutes, as repealed by this
12 act, and section 41-3030.19, Arizona Revised Statutes, as added by this
13 act, apply retroactively to from and after July 1, 2026.

14 Enroll and engross to conform

15 Amend title to conform

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